Particulars	As on 31st March, 2018 ₹	As on 31st March, 2019 ₹
Inventory	3,60,000	4,40,000
Trade receivables	7,40,000	6,60,000
Trade payables	1,90,000	2,30,000
Fixed assets	6,00,000	8,00,000

Additional information:

(i) Revenue from operations for the year ₹ 35,00,000

(ii) Purchases for the year ₹ 21,00,000

(iii) Cost of revenue from operations ₹ 16,00,000.

Assume that sales and purchases are for credit.

(Answer: (i) Inventory turnover ratio: 4 times; (ii) Trade receivables turnover ratio: 5 times; (iii) Trade payables turnover ratio: 10 times; (iv) Fixed assets turnover ratio: 5 times)

Profitability ratios

13. Calculate gross profit ratio from the following:

Revenue from operations ₹ 2,50,000, Cost of revenue from operations ₹ 2,10,000 and Purchases ₹ 1,80,000.

(Answer: Gross profit ratio 16%)

14. Following is the statement of profit and loss of Padma Ltd. for the year ended 31st March, 2018. Calculate the operating cost ratio.

Statement of Profit and Loss

Particulars	Note No.	Amount ₹
I. Revenue from operations		15,00,000
II. Other Income		40,000
III. Total revenue (I +II)		**15,40,000**
IV. Expenses:		
Purchases of Stock-in-trade		8,60,000
Changes in inventories		40,000
Employee benefits expense (Salaries)		1,60,000
Other expenses	1	1,70,000
Total expenses		12,30,000
V. Profit before tax (III-IV)		**3,10,000**

Notes to Accounts

Particulars	Amount ₹
1. Other expenses	
Office and administrative expenses	50,000
Selling and distribution expenses	90,000
Loss on sale of furniture	30,000
	1,70,000

(Answer: Operating cost ratio 80%)

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